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EFO 2025-23

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY-ADDENDUM

Upon the basis of the following justification, I hereby approve the issuance of the contractual action described below using an exception to fair opportunity, pursuant to the authority cited herein.

1. IDENTIFICATION OF AGENCY AND CONTRACTING ACTIVITY:

[REDACTED]

[REDACTED]

2. NATURE AND DESCRIPTION OF THE ACTION BEING APPROVED:

Pursuant to Federal Acquisition Regulation (FAR) 16.505(b)(2)(i)(B), the action being approved is an exception to the fair opportunity process. This justification authorizes the sole source procurement of additional development and sustainment to support the Application Programming Interface (API) gateway capability for the Defense Automatic Addressing System (DAAS) in its Amazon Web Services (AWS) Cloud Environment. This sole source award is being made subsequent to the issuance of the [REDACTED]

[REDACTED] on September 30, 2023, under the J6 Enterprise Technology Services (JETS) contract vehicle. The DAAS Task Order has a total dollar value of [REDACTED] and contains a twelve (12) month base period, two (2) one (1) year option periods, and a three (3) month transitional CLIN. The DAAS Task Order will expire on September 29, 2026, if all options are exercised.

[REDACTED]

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Pursuant to FAR 16.505(b)(2)(i)(C), the action being approved is an exception to fair opportunity. This justification authorizes the use of other than full and open competition to add new work under the existing Task Order for DAAS Application Programming Interface (API) Gateway Implementation. This Task Order was competed on an unrestricted basis (Group A) and therefore was competed among all DLA J6 JETS contract holders – over 140 large, small, and 8(a) companies. [REDACTED] and contains a twelve (12) month base period, two (2) one (1) year option periods, and a three (3) month transitional CLIN. The DAAS Task Order will expire on September 29, 2026, if all options are exercised. The increased support is detailed in Section 3 below.

3. A DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS, INCLUDING AN ESTIMATED DOLLAR AMOUNT:

An Application Programming Interface (“API”) is a software intermediary that acts as a communication link between computer systems, allowing them to access, interact, and extract an agency's data and functions. The APIs streamline business operations and allow agencies to create solutions that provide better customer's experiences without significantly increasing the cost. Currently, the DAAS serves as the interface gateway service provider for the DLA and the Department of Defense (DoD) enterprise. An API Gateway is the hosting platform that maintains and sustains the API runtimes. The API Gateway platform controls the security and operational policies for the APIs and manages API operations.

Also, DLA currently uses a manual approach to handle DLA data requests from authorized external data sources such as Advana. For each data request, DLA systems' owners collaborate to establish a custom feed which gets developed, implemented and routed through DAAS for customer's consumption. The implementation of an API catalog consisting of APIs for standard data sets would streamline our data delivery to the customers not only by eliminating the duplicate efforts involved but also enable DLA to maintain tight control over its dissemination of data. As part of the efforts to make DLA IT systems API centric, the DLA DAAS program took the initial steps to establish an API strategy which was briefed to the Chief Information Officer and the Program Executive Officer. The initial phases of the strategy include implementation of an API Gateway platform to enable API based data exchanges between systems both internal and external to DLA. The API Gateway platform was added as a new capability to the DAAS in July 2022. Since this time, the API Gateway platform has continued to expand both in the number of APIs hosted as well as the number of teams developing on the platform.

In support of this effort, the subject task order provides planning, requirements analysis, installation, configuration, integration, testing, deployment, and sustainment of the API Gateway solution for DAAS to establish the foundation for the API strategy and maintain the platform to enable API based exchanges for the DLA and the DOD enterprise. The Government has selected

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Mulesoft Anypoint platform through a previously competed contract which has since been deployed to production within DLA as the API Gateway platform for DOD enterprise level use. Mulesoft is a market leading commercial API and integration platform empowering systems to securely and efficiently transfer data. DLA selected the product after an evaluation of other commercial tools based on criteria including usability, scalability and performance standards. The Contractor has implemented the API Gateway platform in DAAS which includes development of four API use cases in an Impact Level (IL) 5 AWS Gov cloud environment where DAAS is currently hosted.

DLA and DAAS have been receiving tremendous response from the internal and external stake holders and new requirements to implement APIs for their mission requirements using DAAS API Gateway as the development and hosting platform. In order to support their development teams, DAAS has to enable and maintain the API Gateway platform for an increasing number of APIs including firewall coordination, security control, access management, deployment pipelines/templates, monitoring protocols, and troubleshooting assistance. The level of effort associated with these additional requirements was not taken into consideration during the initial acquisition when the task order was awarded last year.

The scope of this additional work includes planning, implementing, securing, and sustaining the operations of the DAAS API Gateway platform. The estimated dollar value of this requirement is [REDACTED]. The period of performance is expected to begin in Option Period 1 of the contract on September 30, 2024, and will continue through September 29, 2025. Option Period 2 will begin on September 30, 2025, and will continue through September 29, 2026 there is also an optional transition CLIN for three months which would continue through December 29, 2026, if exercised.

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The scope of this additional work includes planning, implementing, securing, and sustaining the operations of the DAAS API Gateway platform. The additional work is for development of APIs that integrate with other DLA Enterprise solutions/platforms to include Service Now and support the transition to Identity Credential and Access Management (ICAM) with system-to-system connections for web-based users, developers, and administrator applications.

The estimated dollar value of this requirement is [REDACTED]. The period of performance is expected to begin in Option Period 1 of the contract on March 31, 2025, and will continue through September 29, 2025. Option Period 2 will begin on September 30, 2025 and will continue through September 29, 2026 there is also an optional transition CLIN for three months which would continue through December 29, 2026, if exercised. The original price with all options was [REDACTED], modification P00002 added additional work which brought the total price with all options, [REDACTED]. This proposed modification with all options will increase the total value of the task order to an estimated total price of [REDACTED].

4. IDENTIFICATION OF THE EXCEPTION TO FAIR OPPORTUNITY (SEE FAR 16.505(b)(2)) AND THE SUPPORTING RATIONALE, INCLUDING A DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE

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QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF THE EXCEPTION CITED:

Pursuant to FAR 16.505(b)(2)(i)(C), an exception to the fair opportunity process is justified because only Credence, the incumbent API Gateway Development, Implementation, Sustainment support contractor, is capable of providing the services required at the level of quality required because the services ordered are unique and highly specialized.

The Defense Automatic Addressing System supports numerous business process areas within the DoD, to include logistics, procurement, travel, transportation, and finance. The DAAS mission provides the capabilities for data validation, data translation, and data routing for the business areas that it supports within the DoD. The DAAS processes over 7 billion transactions per year.

Credence Management Solutions LLC is currently providing the API Gateway Development/Implementation/Sustainment support through September 29, 2026, under Task Order [REDACTED]. This Task Order was competed on an unrestricted basis (Group A) and therefore was competed among all DLA J6 JETS contract holders – over 140 large, small, and 8(a) companies. Credence was selected as the company whose proposal represented the best value to the Government out of the 4 offers received.

The modification contemplated to fulfill this requirement is a logical follow-on because it is very closely linked to the existing order [REDACTED] currently being performed by Credence. The scope of work would closely mirror the scope of the existing order where API Gateway platform operations and sustainment are involved. The additional tasks are sub-tasks or tasks that are directly in support of the current operational activities performed by Credence. The same roles and permissions on the same server and platform assets are required. If another contractor were to perform these tasks, it would likely lead to duplicative platform administration efforts by both contractors due to the integrated nature of the tasks as well as unnecessary overhead of task order management. In addition to the new tasks, there is a significant increase in volume and complexity of the existing platform support tasks currently performed by Credence. The addition of at least five new API development teams in the past year to the API GW platform has increased the volume of platform support and DevSecOps activities currently under contract by Credence to perform. The number of APIs currently in sustainment by the contractor has increased by 280% since October 2023 leading to a direct increase in current platform support tasks.

Credence's performance providing IaaS hosting and managed services support to DLA has been exceptional, with an exception demonstration of subject matter expertise by thorough assessment of various COTS products which led to DLA's selection of the Mulesoft software solution, installation, configuration and development. They demonstrate a thorough understanding of various intricacies involved such as integrations with cloud infrastructure, enterprise Okta Single Sign-on capability, and enterprise DevSecOps capabilities to implement an enterprise level; scalable solution which would not only meet DLA requirements but for the entire DOD enterprise. DAAS API Gateway solution is being implemented in Impact Level -5 (IL-5) environment in the Amazon Web Services Cloud. The IL-5 environment follows DoD Security Requirements Guide (SRG) guidelines and all of DAAS systems will be hosted in this IL-5 environment. Credence has setup the IL-5 environment for DLA/DAAS and is supporting migrating workloads from on-premise to a secure IL-5 environment. DAAS is leveraging the same IL-5 environment with the required security policies and

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architecture. Credence understands this architecture from the ground up and it critical to the success of implementing the API Gateway Platform within this environment, while working across multiple stakeholder community, networking teams, security teams and creating the right architecture, procedures, and security policies to successfully implement and execute the DAAS API Gateway, enable development, publication, sustainment of APIs for both internal and external customers.

It is important that the requirements are managed by a single contractor responsible for all services so that consistency in support and configuration management will be achieved. The nature of these additional tasks, as being in direct support of current operations require that a single contractor perform them all in order to manage schedules, tasks and platform performance with stability. The increase in volume of the current tasks and support requests necessitates the need for additional support by the current contractor. Any other contractor coming onto this project will cause a significant risk of failure due the lack of understanding of the product, architecture, nature of our IL5 environment. It would also require significant coordination between the Government, Credence and the new vendor related to hosting environments, infrastructure information, and licenses and will have a significant impact to DOD mission to provide transaction services if there are any delays with procuring these additional services. If a single contractor is not used, then the capability integration would not work properly, resulting in more cost, an unusable environment and mission failure.

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Per FAR 16.505(b)(2)(i)(C) an exception to the fair opportunity process is justified in the interest of efficiency and economy because only one awardee is capable of providing the services required at the level of quality required in the required timeframe. This Task Order was competed on an unrestricted basis (Group A) and therefore was competed among all DLA J6 JETS contract holders – over 140 large, small, and 8(a) companies. The modification contemplated to fulfill this requirement is a logical follow-on because it very closely linked to the existing order [REDACTED] [REDACTED] currently being performed by Credence.

The work required to perform duties as identified in the updated Performance Work Statement (PWS), Section 2.3.6, Task 6-Identify Credential and Access Management (ICAM) Support will implement ICAM solutions with any Commercial Off the Shelf (COTS) products used to support the APIGW platform which includes solutions for all consumer or trading partner that faces access points for system-to-system connections. This responsibility includes all research, analysis or alternative and documentation with implantation of ICAM with applications. This need for additional work was not known during the conception of this Task Order and is identified as a need for this current time period as DLA has a target date of September 2025 to comply with ICAM. APIGW is being proactive in getting all applications identified and worked right now and needs the new Task 6 implemented to support this proactive approach. The ICAM implementation is tightly integrated with both the Anypoint PCE software as well as all of the API runtimes. The changes will be to the Infrastructure as Code that manages and deploy the PCE software and the API pipeline templates that Credence is already under contract to create and manage. It is not efficient to introduce a separate contractor to implement just the ICAM portion of the platform.

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5. A DETERMINATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE:

As the Contracting Officer, I hereby determine that the anticipated cost to the Government will be fair and reasonable. It is anticipated that the Government will use various price analysis techniques including but not limited to: (1) Comparison of proposed prices to historical prices paid; (2) Comparison of proposed prices with Independent Government Cost Estimate (IGCE); and (3) Comparison of proposed prices obtained through market research for the same or similar services.

6. ANY OTHER FACTS SUPPORTING THE JUSTIFICATION:

N/A

7. A STATEMENT OF THE ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS THAT LED TO THE EXCEPTION TO FAIR OPPORTUNITY BEFORE ANY SUBSEQUENT ACQUISITION FOR THE SUPPLIES OR SERVICES IS MADE:

The DAAS Cloud Hosting Task Order was originally competed under JETS, and DLA plans to compete the next task order to the maximum extent possible under JETS when the original task order expires in September 2026.

DLA has exercised, and continues to exercise, competition as often as possible and is required to conduct ongoing reviews to keep abreast of new technology and corresponding services, both in industry and in the Government. DLA uses a variety of vendors, manufacturers, and contracts/orders to fulfill its requirements and will continue its practice of surveying the market to ensure full and open competition to the maximum extent practicable.

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The DAAS Cloud Hosting Task Order was originally competed under JETS, and DLA will conduct market research to assess the ability to compete the next task order to the maximum extent possible under JETS when the original task order expires in September 2026.

DLA has exercised, and continues to exercise, competition as often as possible and is required to conduct ongoing reviews to keep abreast of new technology and corresponding services, both in industry and in the Government. DLA uses a variety of vendors, manufacturers, and contracts/orders to fulfill its requirements and will continue its practice of surveying the market to ensure full and open competition to the maximum extent practicable.

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8. CERTIFICATIONS:

Technical Certification: *I hereby certify that the support data provided for which I am responsible and which form a basis for this justification are complete and accurate.*

[REDACTED]

Contracting Certification: *I hereby certify that this justification is accurate and complete to the best of my knowledge and belief.*

[REDACTED]

In accordance with FAR 16.505(b)(2)(ii)(C)(2), I have determined that FAR 16.505(b)(2)(i)(C) applies and I approve this justification.

[REDACTED]